T-Mobile 3-Statement Model & DCF Valuation

5-Year Projection (FY2026E–FY2030E) | An independent valuation built from public filings | Prepared by Brett Tierce

Valuation date: 10/13/2026 | $ in millions unless noted | All figures are live links to the model tabs

Jump to: 3-Statement Model | DCF Model

IMPLIED SHARE PRICE	CURRENT SHARE PRICE	IMPLIED UPSIDE / (DOWNSIDE)	ENTERPRISE VALUE	WACC	IMPLIED EQUITY VALUE
$174.72	**$154.06**	**+13.4%**	**$279.0bn**	**7.3%**	**$192.5bn**
DCF base case | 1,102mm shares	Market cap $169.8bn | 10/13/2026	Implied value vs. current price	Implied 8.8x FY25A EBITDA	Exit multiple 7.0x EBITDA	Net debt $86.5bn (FY25A)

FY25A REVENUE	REVENUE CAGR (FY25A–FY30E)	FY25A EBITDA MARGIN	FY30E NET INCOME	NET DEBT / EBITDA (FY25A)	FY30E UNLEVERED FCF
$88.3bn	**6.1%**	**36.0%**	**$13.9bn**	**2.7x**	**$19.7bn**
+8.5% year over year	FY30E revenue $118.5bn	FY30E: 35.6%	FY25A: $11.0bn	FY30E: 2.4x	UFCF CAGR FY26E–30E: 6.1%

EXECUTIVE SUMMARY & INVESTMENT THESIS

Base-case DCF points to 13% upside versus the current share price

Valuation	The DCF model suggests $174.72 per share vs. $154.06 today, using a 7.3% WACC and a 7.0x terminal multiple on a five-year unlevered cash flow forecast.
Margin of safety	Across the 25-case sensitivity grid (WACC 6.5%–8.5%, exit multiple 6.0x–8.0x), suggested value spans $137–$211
Growth & margins	Revenue is forecast to compound at 6.1% a year to $118.5bn by FY2030E, with EBITDA margin near 36.0% and net income rising from $11.0bn to $13.9bn.
Cash returns	Free cash flow after capex of $11.6bn in FY2026E compares with $14.1bn of dividends and buybacks, so shareholder returns are partly debt-funded ($5.0bn of net new debt per year).
Key risks	Terminal value is 75% of enterprise value, so results hinge on the exit multiple and WACC. Net debt/EBITDA is 2.7x today and 2.4x by FY2030E; revenue growth is held flat at 6.1% a year.
Model integrity	Integrated income statement, balance sheet and cash flow built from 10-K filings (FY2023A–FY2025A); the balance sheet balances in every period.

KEY MODEL ASSUMPTIONS

Revenue growth (FY26E–FY30E)	6.1%
Gross margin	62.7%
EBITDA margin	35.6%
Effective tax rate	23.4%
Net new debt issued ($mm / yr)	5,000
Share repurchases ($mm / yr)	9,974
Risk-free rate	5.22%
Equity beta	0.75
Equity risk premium	4.75%
Cost of equity	8.78%
After-tax cost of debt	4.48%
WACC	**7.27%**
Terminal EV / EBITDA multiple	**7.0x**

Financial Summary ($mm)	FY2023A	FY2024A	FY2025A	FY2026A	FY2027A	FY2028A	FY2029A	FY2030A	CAGR / Avg.*
Revenue	**78,558**	**81,400**	**88,309**	**93,654**	**99,323**	**105,334**	**111,710**	**118,471**	**6.1%**
% growth	–	*3.6%*	*8.5%*	*6.1%*	*6.1%*	*6.1%*	*6.1%*	*6.1%*	6.1%
EBITDA	**27,084**	**30,929**	**31,787**	**33,364**	**35,383**	**37,525**	**39,796**	**42,205**	**5.8%**
% margin	*34.5%*	*38.0%*	*36.0%*	*35.6%*	*35.6%*	*35.6%*	*35.6%*	*35.6%*	35.6%
EBIT (operating income)	**14,266**	**18,010**	**18,279**	**19,038**	**20,190**	**21,412**	**22,708**	**24,083**	**5.7%**
% margin	*18.2%*	*22.1%*	*20.7%*	*20.3%*	*20.3%*	*20.3%*	*20.3%*	*20.3%*	20.3%
Net income	**8,317**	**11,339**	**10,992**	**10,737**	**11,422**	**12,173**	**12,992**	**13,883**	**4.8%**
% margin	*10.6%*	*13.9%*	*12.4%*	*11.5%*	*11.5%*	*11.6%*	*11.6%*	*11.7%*	11.6%
Unlevered free cash flow	**–**	**–**	**12,381**	**15,580**	**16,522**	**17,522**	**18,582**	**19,707**	**9.7%**
Net debt	**76,156**	**78,846**	**86,486**	**90,315**	**93,586**	**96,378**	**98,647**	**100,348**	**3.0%**
Net debt / EBITDA	2.8x	2.5x	2.7x	2.7x	2.6x	2.6x	2.5x	2.4x	–
EBIT / net interest expense	4.3x	5.3x	4.8x	3.8x	3.8x	3.9x	4.0x	4.0x	–

VALUATION

DCF Valuation Bridge ($mm, except per share)	
PV of explicit-period UFCF	70,989
PV of terminal value	208,013
Enterprise value	**279,002**
Less: net debt (debt – cash)	(86,486)
Implied equity value	**192,516**
Diluted shares outstanding (mm)	1,101.9
Implied share price	**$174.72**
Current share price	$154.06
Premium / (discount) to current	**+13.4%**

Sensitivity: Implied Share Price ($)

WACC ↓ / Multiple →	6.0x	6.5x	7.0x	7.5x	8.0x
6.5%	$155.07	$169.05	$183.03	$197.01	$210.99
7.0%	$150.28	$163.93	$177.59	$191.24	$204.89
7.5%	$145.61	$158.95	$172.29	$185.63	$198.97
8.0%	$141.06	$154.09	$167.13	$180.16	$193.20
8.5%	$136.63	$149.37	$162.10	$174.84	$187.58

Shading: green ≥ base-case price | yellow ≥ current price | red < current price

Price range ($ / share)	Current	Sens. low	Base case	Sens. high
	$154.06	**$136.63**	**$174.72**	**$210.99**

MODEL GUIDE & SOURCES

Dashboard	Summary of KPIs, thesis, charts and tables (this tab)
3-Statement Model	Income statement, balance sheet, cash flow and schedules
DCF Model	Free cash flow, WACC, valuation and sensitivity table

Source filings: TMUS 12/31/2025 Form 10-K; TMUS 12/31/2023 Form 10-K

COLOR LEGEND (MODEL TABS)

Blue Text	Hardcoded historical inputs from 10-K filings
Black Text	Active formulas, calculations, and internal sums
Green Text	Cross-sheet references
Yellow Fill	Key sensitivity drivers

Income Statement	Actuals			Projections				
$ in millions	2023	2024	2025	2026	2027	2028	2029	2030
Revenue	78,558	81,400	88,309	93,654	99,323	105,334	111,710	118,471
Operating Expenses	(34,104)	(33,737)	(37,256)	(39,661)	(42,062)	(44,608)	(47,308)	(50,171)
Cost of Sales (COGS)	(30,188)	(29,653)	(32,774)	(34,955)	(37,070)	(39,314)	(41,694)	(44,217)
Operating Income (EBIT)	**14,266**	**18,010**	**18,279**	**19,038**	**20,190**	**21,412**	**22,708**	**24,083**
Net Other (expense) Income	68	113	(224)	0	0	0	0	0
Net Interest Expense	(3,335)	(3,411)	(3,774)	(5,012)	(5,270)	(5,510)	(5,737)	(5,947)
Income Before Taxes (EBT)	**10,999**	**14,712**	**14,281**	**14,026**	**14,921**	**15,902**	**16,972**	**18,136**
Income Tax Expense	(2,682)	(3,373)	(3,289)	(3,289)	(3,498)	(3,729)	(3,979)	(4,252)
Net Income	**8,317**	**11,339**	**10,992**	**10,737**	**11,422**	**12,173**	**12,992**	**13,883**
Margins / Growth Rates								
Revenue Growth Rate		3.6%	8.5%	6.1%	6.1%	6.1%	6.1%	6.1%
Gross Profit Margin	61.6%	63.6%	62.9%	62.7%	62.7%	62.7%	62.7%	62.7%
Operating Expenses as % of Revenue	43.4%	41.4%	42.2%	42.3%	42.3%	42.3%	42.3%	42.3%
Tax Rate	24.4%	22.9%	23.0%	23.4%	23.4%	23.4%	23.4%	23.4%
COGS Growth Rate				6.7%	6.1%	6.1%	6.1%	6.1%
Memo: Total D&A	(12,818)	(12,919)	(13,508)	(14,326)	(15,193)	(16,112)	(17,087)	(18,122)
Memo: Depreciation OPEX & COGS	(11,930)	(12,062)	(12,533)	(13,292)	(14,096)	(14,949)	(15,854)	(16,814)
Memo: Capital Expenditures	(9,801)	(8,840)	(9,955)	(10,558)	(11,197)	(11,874)	(12,593)	(13,355)
Memo: Finance Lease Right-of-Use Obtained	(1,224)	(1,222)	(1,232)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)
Memo: Amortization Intangibles	(888)	(857)	(975)	(1,034)	(1,097)	(1,163)	(1,233)	(1,308)
Memo: Purchases of Intangibles	(1,010)	(3,471)	(2,568)	(2,723)	(2,888)	(3,063)	(3,248)	(3,445)
Operating Lease Assets as % of Operating Expenses		40.1%	36.7%	36.7%	36.7%	36.7%	36.7%	36.7%
Change in Operating Lease Assets		(1,737)	294	1,682	1,657	1,757	1,864	1,976
Memo: Other Non-Current Assets as % of Revenue	8.0%	8.0%	14.1%	14.1%	14.1%	14.1%	14.1%	14.1%
Memo: Dividend Payout Ratio (% of Net Income)	9.0%	37.9%	38.6%	38.6%	38.6%	38.6%	38.6%	38.6%
Memo: % Interest Earned on Cash				3.0%	3.0%	3.0%	3.0%	3.0%
Memo: % Interest Rate on Debt				5.9%	5.9%	5.9%	5.9%	5.9%
Memo: Net New Long-Term Debt Issued	3,395	3,514	5,811	5,000	5,000	5,000	5,000	5,000

Balance Sheet	Actuals			Projections				
$ in millions	2023	2024	2025	2026	2027	2028	2029	2030
Cash & Cash Equivalents	5,135	5,409	5,598	6,769	8,498	10,706	13,437	16,736
Accounts Receivable	4,692	4,276	4,874	5,169	5,482	5,814	6,166	6,539
Equipment Installment Plan Receivables	4,456	4,379	4,997	5,299	5,620	5,960	6,321	6,704
Inventory	1,678	1,607	2,405	2,565	2,720	2,885	3,060	3,245
Prepaid Expenses	702	880	1,215	1,289	1,367	1,449	1,537	1,630
Other Current Assets	2,352	1,853	5,372	5,697	6,042	6,408	6,796	7,207
Total Current Assets	**19,015**	**18,404**	**24,461**	**26,788**	**29,729**	**33,222**	**37,316**	**42,060**
Property Plant & Equipment	43,702	41,624	41,093	39,559	37,859	35,984	33,923	31,665
Operating lease assets	27,135	25,398	25,692	27,374	29,031	30,789	32,652	34,628
Intangibles	111,559	116,075	115,553	117,242	119,034	120,934	122,949	125,086
Other Assets	6,271	6,534	12,438	13,191	13,989	14,836	15,734	16,686
Total Non-Current Assets	**188,667**	**189,631**	**194,776**	**197,367**	**199,914**	**202,543**	**205,259**	**208,066**
Total Assets	**207,682**	**208,035**	**219,237**	**224,155**	**229,643**	**235,765**	**242,574**	**250,126**
Accounts Payable and Accrued Liabilities	10,373	8,463	10,280	10,902	11,562	12,262	13,004	13,791
Short-Term Debt	4,879	5,243	6,298	6,298	6,298	6,298	6,298	6,298
Deferred Revenue	825	1,222	1,533	1,626	1,724	1,829	1,939	2,057
Short-Term Operating Lease Liabilities	3,555	3,281	3,814	4,045	4,290	4,549	4,825	5,117
Other Current Liabilities	1,296	1,965	2,575	2,746	2,913	3,089	3,276	3,474
Total Current Liabilities	**20,928**	**20,174**	**24,500**	**25,617**	**26,787**	**28,027**	**29,342**	**30,737**
Revolver	0	0	0	0	0	0	0	0
Long-Term Debt	72,635	75,348	82,254	87,254	92,254	97,254	102,254	107,254
Tower Obligation	3,777	3,664	3,532	3,532	3,532	3,532	3,532	3,532
Deferred Tax Liabilities	13,458	16,700	19,583	19,583	19,583	19,583	19,583	19,583
Operating Lease Liabilities	28,240	26,408	26,371	27,967	29,660	31,455	33,359	35,378
Other Long-Term Liabilities	3,929	4,000	3,794	3,794	3,794	3,794	3,794	3,794
Total Long-Term Liabilities	**122,039**	**126,120**	**135,534**	**142,130**	**148,823**	**155,618**	**162,522**	**169,541**
Common Stock & Additional Paid in Capital	67,705	68,798	69,460	70,043	70,627	71,210	71,793	72,377
Treasury Stock	(9,373)	(20,584)	(30,545)	(40,519)	(50,493)	(60,467)	(70,441)	(80,415)
Other Comprehensive Loss	(964)	(857)	(848)	(848)	(848)	(848)	(848)	(848)
Retained Earnings	7,347	14,384	21,136	27,731	34,748	42,225	50,206	58,734
Total Equity	**64,715**	**61,741**	**59,203**	**56,408**	**54,033**	**52,120**	**50,710**	**49,848**
Total Liabilities & Equity	**207,682**	**208,035**	**219,237**	**224,155**	**229,643**	**235,765**	**242,574**	**250,126**
Balance?	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**

Schedules								
Common Stock & AIPC BOP				69,460	70,043	70,627	71,210	71,793
Stock-Based Compensation	687	619	829	712	712	712	712	712
ESPP	210	191	214	205	205	205	205	205
Tax Withholdings on Share Settlements	(297)	(269)	(434)	(333)	(333)	(333)	(333)	(333)
Common Stock & AIPC EOP				70,043	70,627	71,210	71,793	72,377
Treasury Stock BOP		(9,373)	(20,584)	(30,545)	(40,519)	(50,493)	(60,467)	(70,441)
New Stock Buy Backs		(11,228)	(9,974)	(9,974)	(9,974)	(9,974)	(9,974)	(9,974)
Treasury Stock EOP		(20,601)	(30,558)	(40,519)	(50,493)	(60,467)	(70,441)	(80,415)
Retained Earnings BOP				21,136	27,731	34,748	42,225	50,206
Net Income				10,737	11,422	12,173	12,992	13,883
Common Dividends	(747)	(4,302)	(4,240)	(4,142)	(4,406)	(4,696)	(5,012)	(5,355)
Retained Earnings EOP				27,731	34,748	42,225	50,206	58,734
Operating Working Capital	**(2,169)**	**(1,936)**	**661**	**700**	**742**	**787**	**835**	**885**

Cash Flow Statement	Actuals			Projections				
$ in millions	2023	2024	2025	2026	2027	2028	2029	2030
Net Income				10,737	11,422	12,173	12,992	13,883
Depreciation & Amortization				14,326	15,193	16,112	17,087	18,122
Stock-Based Compensation				712	712	712	712	712
Accounts Receivable				(295)	(313)	(332)	(352)	(373)
Equipment Installment Plan Receivables				(302)	(321)	(340)	(361)	(383)
Inventory				(160)	(155)	(165)	(175)	(185)
Prepaid Expenses				(74)	(78)	(83)	(88)	(93)
Other Current Assets & Long-Term Assets				(1,078)	(1,143)	(1,212)	(1,286)	(1,364)
Accounts Payable and Accrued Liabilities				622	660	700	742	787
Operating Lease Assets				(1,682)	(1,657)	(1,757)	(1,864)	(1,976)
Deferred Revenue				93	98	104	111	117
Operating Lease Liabilities				1,827	1,938	2,055	2,179	2,311
Other Current Liabilities				171	166	176	187	198
Cash Flow From Operations				**24,896**	**26,522**	**28,144**	**29,886**	**31,757**
Capital Expenditures				(10,558)	(11,197)	(11,874)	(12,593)	(13,355)
Purchases of Intangibles				(2,723)	(2,888)	(3,063)	(3,248)	(3,445)
Cash for Investing Activities				**(13,281)**	**(14,085)**	**(14,937)**	**(15,841)**	**(16,800)**
Total Debt				5,000	5,000	5,000	5,000	5,000
Revolver				0	0	0	0	0
Tower Obligation				0	0	0	0	0
Deferred Tax Liabilities				0	0	0	0	0
Repayments of Financing Lease Liabilities				(1,200)	(1,200)	(1,200)	(1,200)	(1,200)
Other Liabilities				0	0	0	0	0
Issuances of Common Stock				(128)	(128)	(128)	(128)	(128)
Repurchases (Treasury Stock)				(9,974)	(9,974)	(9,974)	(9,974)	(9,974)
Other Comprehensive Income				0	0	0	0	0
Dividends				(4,142)	(4,406)	(4,696)	(5,012)	(5,355)
Cash From Financing Activities				**(10,444)**	**(10,708)**	**(10,998)**	**(11,314)**	**(11,658)**
Total Change in Cash				**1,171**	**1,729**	**2,208**	**2,731**	**3,299**
Total Cash Flow Before Revolver Borrowing				**6,769**	**8,498**	**10,706**	**13,437**	**16,736**
Total Revolver Borrowing Needed				0	0	0	0	0

Year	0	1	2	3	4	5
Income Statement (*$ in millions*)						
Revenue	88,309	93,654	99,323	105,334	111,710	118,471
% Growth	8.5%	6.1%	6.1%	6.1%	6.1%	6.1%
EBITDA	31,787	33,364	35,383	37,525	39,796	42,205
% Margin	36.0%	35.6%	35.6%	35.6%	35.6%	35.6%
D&A	(13,508)	(14,326)	(15,193)	(16,112)	(17,087)	(18,122)
EBIT	18,279	19,038	20,190	21,412	22,708	24,083
Free Cash Flow						
EBITDA	31,787	33,364	35,383	37,525	39,796	42,205
Unlevered Taxes	(4,286)	(4,464)	(4,734)	(5,021)	(5,324)	(5,647)
PP&E CapEx	(9,955)	(10,558)	(11,197)	(11,874)	(12,593)	(13,355)
Intangibles CapEx	(2,568)	(2,723)	(2,888)	(3,063)	(3,248)	(3,445)
Change In Operating Working Capital	(2,597)	(39)	(42)	(45)	(48)	(51)
Unlevered Free Cash Flow	**12,381**	**15,580**	**16,522**	**17,522**	**18,582**	**19,707**
Discounted Cash Flow						
Unlevered Free Cash Flow		15,580	16,522	17,522	18,582	19,707
Terminal Value						295,433
Total Unlevered Free Cash Flow		**15,580**	**16,522**	**17,522**	**18,582**	**315,140**
Present Value UFCF	279,002	14,524	14,359	14,196	14,035	221,889
Net Present Value	**279,002**					

Enterprise Value to Equity Value	
PV of Explicit Forecast UFCF	70,989
PV of Terminal Value	208,013
Enterprise Value	279,002
Cash & Cash Equivalents	5,598
Total Debt & Obligations	(92,084)
Implied Equity Value	192,516
Diluted Shares Outstanding	1,102
Implied Share Price	175
Current Share Price	154
Implied Premium (Discount)	13.4%
Terminal Multiple	7.0x
WACC	**7.27%**

WACC Schedule	
Share Price (10/13/2026)	154.06
Shares Outstanding	1,101.86
Market Capitalization	169,752.97
Total Debt	92,084.00
Total Capital	261,836.97
Weight of Equity	**64.83%**
Weight of Debt	**35.17%**
Pre-Tax Cost of Debt	5.85%
Marginal Tax Rate	23.45%
After-Tax Cost of Debt	**4.48%**
Risk Free Rate	5.22%
Equity Beta	0.75
Equity Risk Premium	4.75%
Cost of Equity	**8.78%**

Sensitivity Table					
	6.0x	**6.5x**	**7.0x**	**7.5x**	**8.0x**
6.50%	$155.07	$169.05	$183.03	$197.01	$210.99
7.00%	$150.28	$163.93	$177.59	$191.24	$204.89
7.50%	$145.61	$158.95	$172.29	$185.63	$198.97
8.00%	$141.06	$154.09	$167.13	$180.16	$193.20
8.50%	$136.63	$149.37	$162.10	$174.84	$187.58